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File No: EXP202212287

RESOLUTION OF TERMINATION OF THE PROCEDURE DUE TO VOLUNTARY PAYMENT

From the procedure initiated by the Spanish Agency for Data Protection and based on the following

BACKGROUND

FIRST: On May 31, 2023, the Director of the Spanish Agency for Data Protection decided to initiate sanctioning proceedings against FONTANORTE, S.L. (hereinafter, the respondent), through the Agreement that is transcribed:

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File No: EXP202212287

AGREEMENT TO INITIATE SANCTIONING PROCEDURE

From the actions taken by the Spanish Agency for Data Protection and based on the following

FACTS

FIRST: On October 18, 2022, the Spanish Agency for Data Protection received Diligences No. ***DILIGENCIAS.1 from the Local Police of the Villa de la Orotava Town Hall, with NIF B38466512 (hereinafter, the LOCAL POLICE).

The Local Police of Villa de la Orotava provided Diligences No. ***DILIGENCIAS.1, dated October 4, 2022, in which it is stated that, on September 26, 2022, abandoned documentation was found in containers located in public areas, which were accessible to any passerby, including documents linked to the reported entity containing a plurality of personal data.

In the report of said diligences, it is noted that agents XXXXX and XXXXX, performing functions typical of the body and patrolling on ***CALLE.1, observed three containers for waste collection with open lids, completely filled with documents in paper format.

The interior of the containers is visible from the street and sidewalk, with the documents easily readable and accessible to third parties.

After the ocular inspection of the interior of the containers, it is observed that most of the documents contain the company FONTANORTE, S.L., with NIF B38466512, hereinafter FONTANORTE, as a supplier or client, and Mr. A.A.A., with DNI ***NIF.1, appears in different documents as the representative of the company.

Given the indications of a possible infringement of L.O. 3/2018 on Data Protection and Guarantee of Digital Rights, the three containers are located at the facilities of the Environmental Services of the Hon. Town Hall of the Villa de la Orotava, corresponding to the company PreZero, at the disposal of FONTANORTE for their processing.

It is noteworthy that the intervened paper documents contain data and information about individuals, including: Certificates of installation and supply and evacuation of water, safety plans, contracts, invoices, employee vacation reports, photocopies of DNI, photocopies of Caja Canarias cards, gas installation certificates, employment contracts... among others.

SECOND: The agents of the Local Police of Orotava notified Mr. A.A.A., as the joint administrator and representative of FONTANORTE, of the location of the three containers, urging him to process and destroy the personal data in accordance with current legislation.

LEGAL GROUNDS

I

Competence

In accordance with the powers granted to each supervisory authority by Article 58.2 of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR), and as established in Articles 47, 48.1, 64.2, and 68.1 of Organic Law 3/2018, of December 5, on Personal Data Protection and Guarantee of Digital Rights (hereinafter, LOPDGDD), the Director of the Spanish Agency for Data Protection is competent to initiate and resolve this procedure.

Furthermore, Article 63.2 of the LOPDGDD states: "The procedures processed by the Spanish Agency for Data Protection will be governed by the provisions of Regulation (EU) 2016/679, by this organic

law, by the regulatory provisions issued in its development, and, insofar as they do not contradict them, subsidiarily by the general rules on administrative procedures."

II

Obligation not fulfilled

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3/11

In the present case, we proceed to examine the proceedings No. ***DILIGENCIAS.1 of the LOCAL POLICE, in which it is reported that agents 12511 and 36990, performing functions typical of the force and patrolling along Calle ***CALLE.1, observed three waste collection containers with open lids, completely filled with paper documents containing data and information about individuals, including: installation and supply certificates, wastewater evacuation certificates, safety plans, contracts, invoices, vacation reports of a worker, photocopy of ID, photocopy of Caja Canarias booklet, gas installation certificates, employment contracts... among others.

The interior of the containers is visible from the street and sidewalk, with the documents being easily readable and accessible to third parties.

After the ocular inspection of the interior of the containers, it was observed that the majority of the documents list the company FONTANORTE as a supplier or client, and Mr. AA.A., with ID ***NIF.1, appears in various documents as the representative of the company.

It is, therefore, pertinent to analyze whether the processing of personal data carried out is in accordance with the provisions established in the GDPR.

For the purposes of the GDPR, the data controller is defined in Article 4.7 as:

"the natural or legal person, public authority, service, or other body that, alone or jointly with others, determines the purposes and means of the processing; if the law of the Union or of the Member States determines the purposes and means of the processing, the data controller or the specific criteria for its designation may be established by the law of the Union or of the Member States."

Article 4.2 of the GDPR also defines:

"‘processing’: any operation or set of operations performed on personal data or sets of personal data, whether by automated means or not, such as collection, recording, organization, structuring, storage, adaptation or alteration, retrieval, consultation, use, communication by transmission, dissemination, or any other form of enabling access, alignment, combination, restriction, erasure, or destruction."

Translating these considerations to the specific case under examination, the company FONTANORTE, and as its representative, Mr. A.A.A., with ID ***NIF.1, carries out this activity in his capacity as data controller, as he is the one who determines the purposes and means of such activity, by virtue of Article 4.7 of the GDPR.

Article 4, paragraph 12 of the GDPR broadly defines "personal data security breaches" (hereinafter security breach) as "all breaches of security that lead to the accidental or unlawful destruction, loss, alteration of personal data transmitted, stored, or otherwise processed, or unauthorized communication or access to such data."

From the actions taken, it has been confirmed that the breach had as its entry vector the destruction by FONTANORTE of documentation containing data.

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4/11

personal data using inadequate methods for this purpose. Documentation such as installation and supply certificates, water evacuation certificates, safety plans, contracts, invoices, employee vacation reports, photocopies of ID cards, photocopies of Caja Canarias cards, gas installation certificates, or employment contracts, which contain personal data such as name and surname, ID number, postal address, account numbers... among others.

Within the principles of processing provided in Article 5 of the GDPR, the integrity and confidentiality of personal data is guaranteed in section 1.f) of Article 5 of the GDPR. In turn, the security of personal data is regulated in Article 32 of the GDPR, which governs the security of processing.

III

Article 32 of the GDPR

Regarding the application of data protection regulations to the proposed case, it must be taken into account that the GDPR, in its Article 32, requires data controllers to adopt the corresponding necessary security measures that ensure that the processing is in accordance with current regulations, as well as to guarantee that any person acting under the authority of the controller or the processor and having access to personal data can only process it following the instructions of the controller.

Article 32 of the GDPR establishes the following regarding the security of processing:

“1. Taking into account the state of the art, the costs of implementation, and the nature, scope, context, and purposes of the processing, as well as the varying probability and severity of risks to the rights and freedoms of natural persons, the controller and the processor shall implement appropriate technical and organizational measures to ensure a level of security appropriate to the risk, which may include, among others:

- a) the pseudonymization and encryption of personal data;
- b) the ability to ensure the ongoing confidentiality, integrity, availability, and resilience of processing systems and services;
- c) the ability to restore the availability and access to personal data quickly in the event of a physical or technical incident;
- d) a process for regularly verifying, assessing, and evaluating the effectiveness of the technical and organizational measures to ensure the security of processing.

2. In assessing the appropriateness of the level of security, particular consideration shall be given to the risks presented by the processing of data, in particular as a consequence of the accidental or unlawful destruction, loss, or alteration of personal data transmitted, stored, or otherwise processed, or the unauthorized communication or access to such data.”

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5/11

On the other hand, Recital (74) of the GDPR states that: “The responsibility of the data controller for any processing of personal data carried out by themselves or on their behalf must be established. In particular, the controller must be obliged to implement appropriate and effective measures and must be able to demonstrate compliance of the processing activities with this Regulation, including the effectiveness of the measures. Such measures must take into account the nature, scope, context, and purposes of the processing, as well as the risk to the rights and freedoms of natural persons.”

Defining and establishing control and security measures is a fundamental task that must be carried out in accordance with the particularities of the processing activities and based on the risks involved.

From the actions taken, it has been established that the breach had as its entry vector the destruction by FONTANORTE of documentation containing personal data using inadequate methods for this purpose. Documentation such as installation and supply certificates, wastewater evacuation certificates, security plans, contracts, invoices, employee vacation reports, photocopies of ID cards, photocopies of Caja Canarias cards, gas installation certificates, or employment contracts, which include personal data such as name and surname, ID number, postal address, account numbers... among others.

In this case, the breach of the technical and organizational measures that the reported entity had for the phase of processing the destruction of paper data has been evidenced, which in a case like the one analyzed must comply with minimum standards that guarantee the effectiveness of carrying it out, given the large volume of documentation containing personal data, making it essential to take them to a destruction point.

The GDPR also requires not only the design of the necessary technical and organizational means but also their proper implementation and appropriate use, so that they will also be liable for the lack of diligence in their use, understood as reasonable diligence considering the circumstances of the case, encompassing the assessment of the impact of an incident on personal data, regardless of whether the processing is carried out automatically or manually, or whether the incidents are accidental, both human and associated with natural events.

Incident management is a process that, to a greater or lesser degree of maturity, must already be part of the culture of data controllers and processors. This incident management must be updated, if it is not already, and incorporate the procedures to respond to the obligations arising from the GDPR.

In the face of the risk of not adequately and properly destroying paper documents containing personal data, the lack of these measures is observed. They must also be subject to monitoring in their compliance and effectiveness, as well as when the circumstances of the processing change, taking into account and considering, where applicable, any incident that may occur due to the data, the format, or medium of its processing.

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6/11

A correct guide for ensuring measures related to destruction is to contract with a company in the sector that has and applies the code of good practices on the secure destruction of confidential material.

In accordance with the evidence available in this initiation agreement of the sanctioning procedure, and without prejudice to the outcome of the instruction, it is considered that the known facts could constitute an infringement attributable to the reported entity for violation of Article 32 of the GDPR.

IV

Classification of the infringement of Article 32 of the GDPR

If confirmed, the aforementioned infringement of Article 32 of the GDPR could imply the commission of the infringements classified in Article 83.4 of the GDPR, which under the heading "General conditions for the imposition of administrative fines" states:

"Violations of the following provisions shall be sanctioned, in accordance with paragraph 2, with administrative fines of up to 10,000,000 EUR or, in the case of an enterprise, an amount equivalent to a maximum of 2% of the total annual global turnover of the previous financial year, opting for the higher amount:

a) the obligations of the controller and the processor under Articles 8, 11, 25 to 39, 42, and 43; (...)"

In this regard, the LOPDGDD, in its Article 71 "Infringements," establishes that "Acts and behaviors referred to in paragraphs 4, 5, and 6 of Article 83 of Regulation (EU) 2016/679, as well as those that are contrary to this organic law, constitute infringements."

For the purposes of the statute of limitations, Article 73 "Infringements considered serious" of the LOPDGDD indicates:

"Based on what is established in Article 83.4 of Regulation (EU) 2016/679, the following are considered serious and shall be subject to a two-year statute of limitations: infringements that constitute a substantial violation of the articles mentioned therein and, in particular, the following:

g) The breach, as a result of a lack of due diligence, of the technical and organizational measures that should have been implemented in accordance with the requirements of Article 32.1 of Regulation (EU) 2016/679."

V

Sanction for the infringement of Article 32 of the GDPR

For the purpose of deciding on the imposition of an administrative fine and its amount, in accordance with the evidence available at this moment in the initiation agreement of the sanctioning procedure, and without prejudice to the outcome of the instruction, it is appropriate to grade the sanction to be imposed according to the criteria established by Article 83.2 of the GDPR.

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It is also considered appropriate to grade the sanction to be imposed according to the criteria established in paragraph 2 of Article 76 "Sanctions and corrective measures" of the LOPDGDD. The balance of the circumstances contemplated in Article 83.2 of the GDPR and Article 76.2 of the LOPDGDD, regarding the infringement committed by violating what is established in Article 32 of the GDPR, allows for an initial sanction of €2000 (TWO THOUSAND EUROS).

VI

Adoption of measures

If the infringement is confirmed, it may be agreed to impose on the responsible party the adoption of appropriate measures to adjust their actions to the regulations mentioned in this act, in accordance with what is established in the aforementioned Article 58.2 d) of the GDPR, according to which each supervisory authority may "order the controller or processor to ensure that the processing operations comply with the provisions of this Regulation, where appropriate, in a specified manner and within a specified time frame...". The imposition of this measure is compatible with the sanction consisting of an administrative fine, as provided for in Article 83.2 of the GDPR.

It is noted that failure to comply with a possible order to adopt measures imposed by this agency in the sanctioning resolution may be considered an administrative infringement in accordance with the provisions of the GDPR, classified as an infringement in Articles 83.5 and 83.6, which may lead to the initiation of further administrative sanctioning procedures.

Therefore, in light of the above, by the Director of the Spanish Data Protection Agency,
IT IS AGREED:

FIRST: TO INITIATE SANCTIONING PROCEDURE against FONTANORTE, S.L., with NIF B38466512, for the alleged infringement of Article 32 of the GDPR, classified in Article 83.4 of the GDPR.

SECOND: TO APPOINT B.B.B. as the instructor and C.C.C. as the secretary, indicating that they may be challenged, if applicable, in accordance with the provisions of Articles 23 and 24 of Law 40/2015, of October 1, on the Legal Regime of the Public Sector (LRJSP).

THIRD: TO INCORPORATE into the sanctioning file, for evidentiary purposes, the preliminary proceedings provided by the Local Police of the Villa de la Orotava City Council.

FOURTH: THAT for the purposes provided for in Article 64.2 b) of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations, the sanction that may correspond would be, for the alleged infringement of Article 32 of the GDPR, classified in Article 83.4 of that regulation, an administrative fine of €2,000.00.

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FIFTH: NOTIFY this agreement to FONTANORTE, S.L., with NIF B38466512, granting a hearing period of ten working days for it to submit allegations and present any evidence it deems appropriate. In its written allegations, it must provide its NIF and the procedure number that appears in the heading of this document.

If no allegations are made regarding this initiation agreement within the stipulated period, it may be considered a proposal for resolution, as established in Article 64.2.f) of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP).

In accordance with the provisions of Article 85 of the LPACAP, it may acknowledge its responsibility within the period granted for submitting allegations to this initiation agreement; this will entail a reduction of 20% of the sanction that may be imposed in this procedure. With the application of this reduction, the sanction would be set at 1,600.00 euros, resolving the procedure with the imposition of this sanction.

Likewise, it may, at any time prior to the resolution of this procedure, voluntarily pay the proposed sanction, which will imply a reduction of 20% of its amount. With the application of this reduction, the sanction would be set at 1,600.00 euros, and its payment will imply the termination of the procedure, without prejudice to the imposition of the corresponding measures.

The reduction for the voluntary payment of the sanction is cumulative with the one corresponding to the acknowledgment of responsibility, provided that this acknowledgment of responsibility is made within the period granted for submitting allegations to the initiation of the procedure. The voluntary payment of the amount referred to in the previous paragraph may be made at any time prior to the resolution. In this case, if both reductions are applicable, the amount of the sanction would be set at 1,200.00 euros.

In any case, the effectiveness of either of the two mentioned reductions will be conditioned upon the withdrawal or waiver of any action or administrative appeal against the sanction.

In the event that it opts to proceed with the voluntary payment of any of the amounts indicated above (1,600.00 euros or 1,200.00 euros), it must make the payment by depositing it into account no. IBAN: ES00 0000 0000 0000 0000 0000 (BIC/SWIFT Code: XXXXXXXXXXXX) opened in the name of the Spanish Agency for Data Protection at the banking entity CAIXABANK, S.A., indicating in the concept the reference number of the procedure that appears in the heading of this document and the reason for the reduction of the amount to which it is entitled.

Additionally, it must send the proof of payment to the General Subdirectorate of Inspection to continue with the procedure in accordance with the amount deposited.

The procedure will have a maximum duration of twelve months from the date of the initiation agreement. Once this period has elapsed, it will expire, and consequently, the file will be archived; in accordance with the provisions of Article 64 of the LOPDGDD.

In compliance with Articles 14, 41, and 43 of the LPACAP, it is warned that, henceforth, notifications sent to it will be made exclusively electronically, through the Single Enabled Electronic Address (dehu.redsara.es), and that, if it does not access them, its rejection will be recorded in the file, considering the procedure completed and continuing with the process. It is informed that it can identify an email address to this Agency to receive notice of the availability of notifications and that the lack of practice of this notice will not prevent the notification from being considered fully valid.

Finally, it is noted that according to the provisions of Article 112.1 of the LPACAP, there is no administrative appeal against this act.

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Mar España Martí

Director of the Spanish Agency for Data Protection

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SECOND: On June 12, 2023, the respondent has proceeded to pay the sanction in the amount of 1,200 euros, making use of the two reductions provided for in the previously transcribed Initiation Agreement, which implies the acknowledgment of responsibility.

THIRD: The payment made, within the period granted for submitting allegations to the initiation of the procedure, entails the waiver of any action or administrative appeal against the sanction and the acknowledgment of responsibility in relation to the facts referred to in the Initiation Agreement.

LEGAL GROUNDS

I

Competence

In accordance with the powers granted to each supervisory authority by Article 58.2 of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR), and as established in Articles 47, 48.1, 64.2, and 68.1 of Organic Law 3/2018, of December 5, on the Protection of Personal Data and the Guarantee of Digital Rights (hereinafter, LOPDGDD), the Director of the Spanish Agency for Data Protection is competent to initiate and resolve this procedure.

Furthermore, Article 63.2 of the LOPDGDD states: "The procedures processed by the Spanish Agency for Data Protection will be governed by the provisions of Regulation (EU) 2016/679, by this organic law, by the regulatory provisions issued in its development, and, insofar as they do not contradict them, with the character..."

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10/11

subsidiary, by the general rules on administrative procedures."

II

Termination of the procedure

Article 85 of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP), under the heading "Termination in sanctioning procedures" provides as follows:

"1. Once a sanctioning procedure has been initiated, if the offender acknowledges their responsibility, the procedure may be resolved with the imposition of the appropriate sanction.

2. When the sanction is solely of a pecuniary nature or when it is possible to impose a pecuniary sanction and another non-pecuniary sanction but the impropriety of the latter has been justified, voluntary payment by the presumed responsible party, at any time prior to the resolution, will imply the termination of the procedure, except in relation to the restoration of the altered situation or the determination of compensation for the damages caused by the commission of the infringement.

3. In both cases, when the sanction is solely of a pecuniary nature, the competent authority to resolve the procedure will apply reductions of at least 20% on the amount of the proposed sanction, which are cumulative. The aforementioned reductions must be specified in the notification of initiation of the procedure and their effectiveness will be conditioned on the withdrawal or renunciation of any action or administrative appeal against the sanction. The percentage of reduction provided for in this section may be increased by regulation."

In accordance with the above,

the Director of the Spanish Agency for Data Protection RESOLVES:

FIRST: TO DECLARE the termination of procedure EXP202212287, in accordance with the provisions of Article 85 of the LPACAP.

SECOND: TO NOTIFY this resolution to FONTANORTE, S.L.

In accordance with the provisions of Article 50 of the LOPDGDD, this Resolution will be made public once it has been notified to the interested parties.

Against this resolution, which concludes the administrative route as provided by Article 114.1.c) of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations, the interested parties may file a contentious-administrative appeal before the Contentious-Administrative Chamber of the National Court, in accordance with the provisions of Article 25 and Section 5 of the fourth additional provision of Law 29/1998, of July 13, regulating Contentious-Administrative Jurisdiction, within a period of two months from the day following the notification of this act, as provided in Article 46.1 of the aforementioned Law.

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11/11

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